INTERNAL COMMUNICATION
LAST UPDATED: December 2021

POLICY NUMBER: **FP-FIN-043**

EQUITY

ACCOUNTING POLICY

The purpose of this policy is to provide comprehensive guidance regarding Hilton Worldwide Holdings Inc.'s ("Hilton") accounting for equity transactions in accordance with U.S. Generally Accepted Accounting Principles ("GAAP") Accounting Standard Codification ("ASC").

POLICY STATEMENT

Hilton has common shares outstanding that are held by its shareholders and publicly traded on the New York Stock Exchange under the ticker symbol "HLT". Hilton engages in various equity transactions to return capital to its shareholders, including the issuance of cash dividends as a way of distributing its earnings to its current shareholders. Additionally, at times Hilton will repurchase its own common stock as another way of distributing earnings to its current shareholders. Hilton may also provide certain employees the right to purchase Hilton's stock at a discounted price through payroll deductions during specified purchase periods as part of an employee stock purchase program ("Employee Stock Purchase Plan" or "ESPP"). This policy provides guidance on how Hilton should account for various equity transactions related to its own common stock.

SCOPE

Equity represents the investor's residual interest in the assets of Hilton that remain after deducting its liabilities. This policy focuses on transactions involving Hilton's own common stock which include dividends (both cash and stock), stock splits and reserve stock splits, repurchases of its own common stock, and ESPPs.

Equity instruments should carefully be evaluated to determine if the instrument contains an embedded derivative which shall be accounted for under **FP-FIN-039 – Derivatives & Hedging Accounting Policy**. Commonly found features in equity instruments that could represent an embedded derivative include but are not limited to conversion options and put or call features.

Additionally, equity instruments should also be carefully evaluated to determine if the instrument meets the criteria to be classified as debt. If an equity instrument meets the criteria to be classified as debt, the instrument would be within the scope of **FP-FIN-022 – Debt Accounting Policy**. The following are examples of equity instruments that should be classified as debt:

1. Mandatorily redeemable financial instruments, unless the redemption is required to occur only upon the liquidation or termination of the reporting entity.[1]
2. Financial instruments other than a share that represent or are indexed to obligations to repurchase the issuer's equity shares by transferring assets.[2]
3. Certain obligations to issue a variable number of shares, that at inception, the monetary value of the obligation is based on a fixed monetary amount, varies based on something other than the fair value of the issuer's equity shares or varies inversely to changes in the fair value of the issuer's equity shares.[3]

This policy will also discuss the calculation of basic and diluted earnings (loss) per share ("EPS"), as well as how participating securities affect Hilton's EPS calculations.

Note, this policy does not cover employee compensation arrangements where Hilton provides equity awards in its own common stock. Refer to **FP-FIN-038 – Share-Based Compensation Accounting Policy** for guidance on these arrangements.

APPLICABILITY

This policy applies to all Finance and Legal personnel.

EXCLUSIONS/ EXCEPTIONS

This policy excludes intercompany equity transactions, non-consolidated equity transactions at joint ventures or other variable interest entities ("VIEs"). Refer to **FP-FIN-004 – Equity Securities Accounting Policy** and **FP-FIN-029 – Variable Interest and Voting Interest Entities Accounting Policy** for guidance related to the accounting related to joint ventures or other VIEs.

[1] *ASC 480-10-25-4, Distinguishing Liabilities from Equity, Overall, Recognition*
[2] *ASC 480-10-25-8 through 13, Distinguishing Liabilities from Equity, Overall, Recognition*
[3] *ASC 480-10-25-14, Distinguishing Liabilities from Equity, Overall, Recognition*

AUTHORIZATIONS

Required Consultations with Technical Accounting

Technical Accounting ("TA") must be notified and consulted if Hilton:

1) Executes a stock dividend.
2) Executes a stock split or reverse stock split.
3) Enters into a new or amended plan to repurchase its own common stock.

Please contact a member of the TA Group or Technical_Accounting@hilton.com

INITIAL RECOGNITION AND MEASUREMENT

a. Dividends

Dividends are distributions of Hilton's retained earnings to its shareholders and are declared by Hilton's Board of Directors ("BOD"). Dividend distributions generally will take the form of either a *cash payment* or *issuance of its own common stock* and involve the following key dates:

- Date of declaration – The date the BOD declares the dividend to shareholders.
- Date of record – The date the BOD specifies that shareholders of record on that date are entitled to the dividend payment.
- Date of payment – The date the dividend is actually paid by Hilton.

If the dividend payment takes the form of shares, the number of additional shares issued as a stock dividend needs to be evaluated to determine whether the dividend should be accounted for as a stock dividend or as a stock split.[4] While Hilton generally believes that an issuance of additional shares of less than 20 to 25 percent of the number of previously outstanding shares should be accounted for as a stock dividend, this determination should ultimately be based on whether it is expected that the number of additional shares issued will have the effect of materially reducing the per share market value of the stock.[5]

Cash Dividend

Upon the declaration of a cash dividend, a current liability equal to the expected cash payment to shareholders should be recorded along with a reduction to retained earnings. Then, upon the date of payment when the cash payment is made to shareholders, the liability should be relieved. Additional compensation cost should be recognized for dividends declared for unvested cash settled awards, instead of a reduction to retained earnings.

Stock Dividend (Consultation Required)

Unlike a cash dividend, at the time of the declaration of a stock dividend, no liability is recorded. Then, upon the date of payment and the transfer of additional shares to shareholders, a transfer from retained earnings to common stock and additional paid-in capital ("APIC") should be recorded equal to the fair value of the additional shares issued.[6] See **Stock Splits** subsection below for the accounting treatment of a stock split.

b. Stock Splits (Consultation Required)

There are two types of stock splits in which an entity can undertake.

- Stock Split – An entity issues enough additional shares such that it is expected that the number of additional shares issued will have the effect of materially reducing the per share market value of the stock (see **Dividends** subsection above for more details)
- Reverse Stock Split – An entity cancels a portion of its issued and outstanding shares on a pro-rata basis.

For a stock split or a reverse stock split, no accounting is required other than potentially recording an increase or decrease in the par value of the shares for the additional shares issued or shares canceled, respectively. If an increase or decrease in par value of the shares is needed, the offset will be to APIC.[7]

[4] *ASC 505-20-25-2, Equity, Stock Dividends and Stock Splits, Recognition*
[5] *ASC 505-20-25-3, Equity, Stock Dividends and Stock Splits, Recognition*
[6] *ASC 505-20-30-3, Equity, Stock Dividends and Stock Splits, Initial Measurement*
[7] *ASC 505-20-30-6, Equity, Stock Dividends and Stock Splits, Initial Measurement*

Illustration 1 – Stock Split

Facts:

ABC Company has 1,000,000 common shares issued and outstanding with a par value of $0.01 per share. The Board of Directors of ABC Company made a declaration that ABC Company would issue a 2-for-1 stock split and that the par value per share will remain the same. Prior to the stock split ABC Company had the following common stock and APIC balances:

Common Stock	$10,000
APIC	$10,000,000

Analysis:

As a result of the stock split, the total number of common shares issued and outstanding increased from 1,000,000 to 2,000,000 with a par value of $0.01 per share. As a result of the stock split, ABC Company recorded the following entry:

	Dr.	Cr.
APIC	$10,000	
Common Stock		$10,000

After the stock split ABC Company had the following common stock and APIC balances:

Common Stock	$20,000
APIC	$9,990,000

c. *Share Repurchases (Consultation Required)*

Hilton may repurchase its own common stock directly from the market. Repurchased shares may either be retired or held for reissuance. If the repurchased common stock is retired, the repurchase is referred to as a retirement of common stock, and if the repurchased common stock is held for reissuance, the repurchased common stock is referred to as treasury stock. The accounting treatment of repurchases of one's own common stock depends on whether the repurchased shares are classified as retired or treasury stock.

Further, repurchases of common stock not at market prices will require additional evaluation to determine whether the repurchase price includes amounts attributable to items other than the common stock repurchased.[8]

Common Stock Repurchased for Retirement

If Hilton repurchases its own common stock for retirement, and the purchase price is less than the shares' par value, the excess amount will be recorded as an increase to APIC.[9] If the purchase price is greater than the shares' par value, the excess amount may be allocated and recorded as a decrease between APIC and retained earnings or may be fully allocated and recorded as a decrease to retained earnings. Any amounts allocated to APIC is limited to the sum of both of the following:

a. All APIC arising from previous retirements (in which the purchase price was less than the shares' par value) and net gains on sales of treasury stock (refer to **Sale of Treasury Stock** subsection below for discussion regarding sales of treasury stock).

b. The pro rata portion of APIC.[10]

Treasury Stock

If Hilton repurchases its own common stock for purposes other than retirement (i.e., treasury stock), the cost of the treasury stock (including any broker commissions incurred to acquire the common stock) may be shown separately on the balance sheet as a reduction to equity or may be accounted for in the same manner as common stock repurchased for retirement (See **Common Stock Repurchased for Retirement** subsection above).[11] Hilton accounts for all treasury stock separately on its balance sheet as a reduction to equity.

[8] *ASC 505-30-25-3, Equity, Treasury Stock, Recognition*
[9] *ASC 505-30-30-9, Equity, Treasury Stock, Initial Measurement*
[10] *ASC 505-30-30-8, Equity, Treasury Stock, Initial Measurement*
[11] *ASC 505-30-30-6, Equity, Treasury Stock, Initial Measurement*

Adequate recordkeeping of historical treasury stock transactions is required to properly apply the above mentioned accounting. Additionally, an acceptable inventory method should be used to track treasury stock transactions and determine the appropriate amount of gain or loss to be recorded upon the sale of treasury stock not previously accounted for as common stock repurchased for retirement. Hilton has elected to apply the FIFO method to determine the carrying value for sales of treasury stock.

d. *Sale of Treasury Stock (Consultation Required for New Plan or Plan Amendment)*

Hilton may reissue or sell its treasury stock, including the sale of treasury stock under an ESPP. If Hilton sells or reissues its treasury stock for a price greater than the cost of the treasury stock, Hilton should recognize the gain as an increase to APIC. If Hilton sells or reissues its treasury stock for a price less than the cost of the treasury stock, Hilton will first recognize the loss as a decrease to APIC to the extent of any previously recognized gains on treasury stock, and then as a decrease to retained earnings.[12]

PRESENTATION

a. Earnings Per Share

Hilton is required to present its EPS in each period a statement of operations is presented.[13] There are two measures of EPS that are required, basic EPS and diluted EPS. Basic EPS is calculated by dividing income available to common stockholders by the weighted-average number of common shares outstanding during the period.[14] Diluted EPS is calculated by dividing income available to common stockholders (adjusted for certain dividends and interest associated with convertible debt) by the weighted-average number of common shares outstanding adjusted to include the assumed issuance of additional common shares, if dilutive.[15] However, assumed shares that increase earnings per share or decrease loss per share are antidilutive and should not be included in the calculation.[16] The diluted EPS measure will always be equal to or less than that of the basic EPS measure.

Any securities meeting the definition of a participating security are included within the calculation of basic and diluted EPS using the *two-class method.*[17] While companies are not required to present basic and diluted EPS for participating securities (other than a second class of common stock), entities are permitted to do so.[18] Further, in calculating diluted EPS, generally options, warrants and their equivalents should be included within the denominator of the calculation using the *treasury stock method.*[19]

Two-Class Method and Participating Securities

A participating security is any security that shares in dividends in its current form. The following is a list of common participating securities:

- Preferred stock that receives dividends based on dividends paid on common stock.
- Restricted stock units ("RSUs") if they provide for payment of nonforfeitable dividends.
- Deferred share units ("DSUs") if they provide payment of nonforfeitable dividends.
- Stock options and warrants on common stock that receive nonforfeitable dividends paid on the underlying stock.
- Convertible debt with interest that must be paid upon declaration of a common stock dividend.
- Forward contracts to sell the issuer's common shares with an adjustment to the strike price when dividends are paid on the underlying shares.[20]
- Mandatorily convertible debt or preferred stock with an adjustment to the strike price when dividends are paid on the underlying shares.

In calculating EPS with participating securities under the two-class method:

- Net income shall be reduced by the amount of dividends declared in the current period for each class of stock and by the contractual amount of dividends that must be paid for the current period (e.g., unpaid cumulative dividends).

[12] *ASC 505-30-30-10, Equity, Treasury Stock, Initial Measurement*
[13] *ASC 260-10-45-7, Earnings Per Share, Overall, Other Presentation Matters*
[14] *ASC 260-10-45-10, Earnings Per Share, Overall, Other Presentation Matters*
[15] *ASC 260-10-45-16, Earnings Per Share, Overall, Other Presentation Matters*
[16] *ASC 260-10-45-17, Earnings Per Share, Overall, Other Presentation Matters*
[17] *ASC 260-10-45-60A, Earnings Per Share, Overall, Other Presentation Matters*
[18] *ASC 260-10-45-60, Earnings Per Share, Overall, Other Presentation Matters*
[19] *ASC 260-10-45-22, Earnings Per Share, Overall, Other Presentation Matters*
[20] *ASC 260-10-45-63, Earnings Per Share, Overall, Other Presentation Matters*

- Then, the remaining (i.e. undistributed) net income shall be allocated to common stock and any participating securities to the extent that each security may share in earnings as if all of the earnings for the period had been distributed. The total earnings allocated to each security is the sum of the amount allocated for dividends and the amount allocated for a participation feature.
- If the Company has a net loss, it should allocate the loss among the classes of securities that have an objectively determinable contractual obligation to share in the losses (typically only common shares).[21]
- The total earnings allocated to each security shall then be divided by the number of outstanding shares.[22]

Illustration 2 – EPS Calculation with Participating Securities

Facts:

- Net income for the period was $1 million
- 150,000 shares of $1 par value common stock are outstanding
- 50,000 shares of $1 par value nonconvertible, participating preferred stock are outstanding
- The preferred stock is entitled to a noncumulative annual dividend of $3 per share before any dividend is paid on common stock
- After the common stock has been paid a dividend of $2 per share, the preferred stock then participates in any additional dividends on a 50:50 per-share basis with common stock.

Analysis:

Net Income	$1,000,000
Less dividends paid:	
Preferred ($3 x 50,000 shares)	($150,000)
Common ($2 x 150,000 shares)	($300,000)
Undistributed earnings	$550,000

Allocation of undistributed earnings:

Preferred: $\$550{,}000 * [50{,}000 \div (50{,}000 + 150{,}000)] = \$137{,}500 \div 50{,}000\ shares = \$2.75\ per\ share$

Common: $\$550{,}000 * [150{,}000 \div (50{,}000 + 150{,}000)] = \$412{,}500 \div 150{,}000\ shares = \$2.75\ per\ share$

Basic per share amounts:

	Preferred Stock	Common Stock
Distributed earnings – dividends	$3.00	$2.00
Undistributed earnings – allocated	$2.75	$2.75
Totals	$5.75	$4.75

Treasury Stock Method

The treasury stock method for calculating EPS assumes that:

- The exercise of options and warrants were at the beginning of the period (or at time of issuance, if later) and common stock shall be assumed to be issued (note: awards of share options and nonvested shares to be issued to an employee under a share-based compensation arrangement are considered options for purposes of computing diluted EPS).[23]
- All granted share-based payment awards with only a service condition (i.e., must be employed as of the vesting date) are included within the diluted EPS calculation even if they have not yet vested as of the date used in the calculation (assuming they are dilutive). If the share-based payment award has a market or performance condition, these are only included in the calculation of diluted EPS based on the number of shares or options that would be issuable as of the date used in the calculation based on the market and performance conditions that have been satisfied as of that date (assuming they are dilutive).[24]
- The proceeds from the exercise of options and warrants will be used to repurchase the entity's common stock at the average market price during the period. The proceeds shall be calculated as the sum of the following:

[21] *ASC 260-10-45-67 through 45-68, Earnings Per Share, Overall, Other Presentation Matters*
[22] *ASC 260-10-45-60B, Earnings Per Share, Overall, Other Presentation Matters*
[23] *ASC 260-10-45-28A, Earnings Per Share, Overall, Other Presentation Matters*
[24] *ASC 260-10-45-32 and 45-48, Earnings Per Share, Overall, Other Presentation Matters*

  - The amount, if any, the grantee pays upon exercise.
  - The average unrecognized cost attributed to such share-based payment awards.[25]
- The number of shares purchased under an ESPP is based on all funds expected to be withheld during the purchase period, not just the funds that have been withheld to date, as well as the average unrecognized cost attributed to the ESPP, and the stock price at the end of the reporting period (i.e., the number of shares to be added would be the amount that could be purchased based on the lower of the grant date stock price or the stock price at the end of the reporting period).
- The incremental shares (i.e., the difference between the number of shares that were assumed to be issued and the number of shares that were assumed to be purchased) shall be included in the denominator of the diluted EPS computation.[26]

Illustration 3 – EPS Calculation with Share-Based Payment Awards

Facts:

- Net income of $5 million for year X1
- 1 million average common shares outstanding for the year
- 50,000 shares of restricted stock with a fair value of $15 per share granted on 1/1/X1.
- Shares of restricted stock vest over a four-year period, with 25% of the grant vesting each year. The employee must be employed on each vesting date to become vested in each tranche.
- Shares of restricted stock are legally issued and outstanding, and the employee is not required to pay for the restricted stock.
- Average stock price for the year ended 12/31/X1 is $30 per share.

Analysis:

Basic EPS	
Net income available to common shareholders	5,000,000
Common shares outstanding	1,000,000
Basic EPS	$ 5.00
Incremental Shares	
FV per share as of grant date	15
Number of Shares	50,000
Total book compensation	750,000
Years vesting	4
Compensation expense per year	187,500
Unrecognized compensation expense at 12/31/X1	562,500
Average unrecognized compensation for X1	656,250
X1 average stock price	30
Assumed repurchase	21,875
Incremental shares included in diluted EPS (a)	28,125
Common shares outstanding	1,000,000
Shares included in diluted EPS calculation	1,028,125
Diluted EPS	
Net income available to common shareholders	5,000,000
Shares included in diluted EPS calculation	1,028,125
Diluted EPS	$ 4.86

[25] *ASC 260-10-45-29, Earnings Per Share, Overall, Other Presentation Matters*
[26] *ASC 260-10-45-23, Earnings Per Share, Overall, Other Presentation Matters*

(a) $50{,}000 - 21{,}875 = 28{,}125$

Dilution and Antidilution

When calculating diluted EPS, Hilton is required to determine if each issue or series of issues of potential common shares is antidilutive.[27] There is a five-step process to determine which shares, if any, are antidilutive and, therefore, should be excluded from the diluted EPS calculation:

1. Identify potential common shares. Potential common shares are securities that may entitle the holder to obtain common stock during the reporting period or after the end of the reporting period.
2. Calculate the dilutive effect of each potential common share or earnings per incremental share ("EPIS"). EPIS is the increase in income per share the Company would have assuming the issuance of the potential common shares.

$$\mathbf{EPIS} = \frac{\text{Increase in income assuming issuance of potential shares}}{\text{Increase in number of common shares}}$$

3. Rank the potential common shares from most dilutive (i.e., lowest EPIS) to least dilutive (i.e., highest EPIS).
4. Starting with basic EPS, add the potential common shares in order from most to least dilutive to calculate the cumulative diluted EPS after each potential common share(s) has been added.
5. Stop once the addition of a potential common share is antidilutive (i.e., increases EPS or decreases loss per share). Any potential common share with a higher EPIS are also considered to be antidilutive and are therefore excluded from the diluted EPS calculation.[28]

Illustration 4 – Antidilution Sequencing

Facts:

- Income available to common stockholders of $20,000,000
- 3,000,000 shares of common stock outstanding for the entire year
- Average market price of the common stock was $80
- Potential common shares outstanding during the year:
  - Options (not compensation related) to buy 150,000 shares of common stock at $65 per share.
  - 700,000 shares of convertible preferred stock entitled to a cumulative dividend of $10 per share. Each preferred share is convertible into two shares of common stock.
  - 5 percent convertible debentures with a principal amount of $150,000,000 (issued at par). Each $1,000 debenture is convertible into 20 shares of common stock.

Analysis:

Determination of earnings per incremental share:

	Increase in Income		Increase in Number of Common Shares		Earnings per Incremental Share
Options	-		28,125	(a)	-
Convertible Preferred stock	$ 7,000,000	(b)	1,400,000	(c)	$ 5.00
5% convertible debentures	4,500,000	(d)	3,000,000	(e)	1.50

(a) $[(\$80 - \$65) \div \$80] \times 150{,}000$
(b) $700{,}000\ shares \times \$10$
(c) $700{,}000\ shares \times 2$
(d) $(\$150{,}000{,}000 \times 5\%)\ less\ taxes\ at\ 40\%$
(e) $150{,}000\ debentures \times 20$

[27] *ASC 260-10-45-17, Earnings Per Share, Overall, Other Presentation Matters*
[28] *ASC 260-10-45-18, Earnings Per Share, Overall, Other Presentation Matters*

Computation of Diluted Earnings per Share:

	Income available	Common shares	Per Share	
As reported	$ 20,000,000	3,000,000	$ 6.67	
Options	-	28,125		
	20,000,000	3,028,125	6.60	Dilutive
5% convertible debentures	4,500,000	3,000,000		
	24,500,000	6,028,125	4.06	Dilutive
Convertible preferred stock	7,000,000	1,400,000		
	$ 31,500,000	7,428,125	4.24	Antidilutive

Note that because diluted EPS increases from $4.06 to $4.24 when the convertible preferred shares are included in the computation, those convertible preferred shares are antidilutive and, as such, are excluded from the computation of diluted EPS. Therefore, diluted EPS is reported as $4.06.

In the event Hilton has a net loss from continuing operations attributable to Hilton stockholders, diluted EPS will generally be calculated in the same way as basic EPS, even if there is net income after adjusting for discontinued operations.[29] An instance when potential common shares could still be included in the diluted EPS calculation is if those potential common shares can be settled in shares or cash and are classified as an asset or liability (instead of equity on the entity's balance sheet), but are assumed to be settled in shares for EPS purposes.

If Hilton has a net loss for a quarter but is still in a net income position on a year-to-date basis (or vice versa), each period's diluted EPS would be calculated as described in **Illustration 5**. As a result, the year-to-date diluted EPS may not equal the sum of each quarter's diluted EPS.[30]

Illustration 5 – EPS Calculation with Quarterly Net Loss and YTD Net Income

Facts:

- Income (loss) of $70,000 for Q1, ($160,000) for Q2, $70,000 for Q3, and $100,000 for Q4.
- Common shares of 150,000
- Options outstanding that are equal to 30,000 incremental shares. The options are outstanding throughout the year.
- Options are in the money throughout the year.

Analysis:

Quarterly	First Quarter	Second Quarter		Third Quarter	Fourth Quarter
Income from continuing operations	$ 70,000	$ (160,000)		$ 70,000	$ 100,000
Common shares	150,000	150,000		150,000	150,000
Incremental shares	30,000	-	(a)	30,000	30,000
Basic EPS	$ 0.47	$ (1.07)		$ 0.47	$ 0.67
Diluted EPS	$ 0.39	$ (1.07)		$ 0.39	$ 0.56

[29] *ASC 260-10-45-20, Earnings Per Share, Overall, Other Presentation Matters*
[30] *ASC 260-10-55-3A and 3B, Earnings Per Share, Overall, Implementation Guidance and Illustrations*

Year-to-Date	Three Months	Six Months	Nine Months	Full Year
Income from continuing operations	$ 70,000	$ (90,000)	$ (20,000)	$ 80,000
Common shares	150,000	150,000	150,000	150,000
Incremental shares	30,000	- (a)	- (a)	30,000
Basic EPS	$ 0.47	$ (0.60)	$ (0.13)	$ 0.53
Diluted EPS	$ 0.39	$ (0.60)	$ (0.13)	$ 0.44

(a) Due to a loss for the quarter or a year-to-date loss, zero incremental shares are included because the effect would be antidilutive.

Illustration 6 – EPS Calculation with Changes in Incremental Shares

Facts:

- Income of $70,000 for Q1, $160,000 for Q2, $70,000 for Q3, and $100,000 for Q4.
- Common shares of 150,000
- Options outstanding that are equal to 30,000 incremental shares. The options are outstanding throughout the year.
- Additional 10,000 options granted at the beginning of Q4 and are outstanding through the remainder of the year.
- All options are in the money during the year.

Analysis:

Quarterly	First Quarter	Second Quarter	Third Quarter	Fourth Quarter
Income from continuing operations	$ 70,000	$ 160,000	$ 70,000	$ 100,000
Common shares	150,000	150,000	150,000	150,000
Incremental shares	30,000	30,000	30,000	40,000
Basic EPS	$ 0.47	$ 1.07	$ 0.47	$ 0.67
Diluted EPS	$ 0.39	$ 0.89	$ 0.39	$ 0.53

Year-to-Date	Three Months	Six Months	Nine Months	Full Year
Income from continuing operations	$ 70,000	$ 230,000	$ 300,000	$ 400,000
Common shares	150,000	150,000	150,000	150,000
Incremental shares	30,000	30,000 (a)	30,000 (b)	32,500 (c)
Basic EPS	$ 0.47	$ 1.53	$ 2.00	$ 2.67
Diluted EPS	$ 0.39	$ 1.28	$ 1.67	$ 2.19

(a) Six-month computation: (30 + 30) ÷ 2

(b) Nine-month computation: (30 + 30 + 30) ÷ 3
(c) Full-year computation: (30 + 30 + 30 + 40) ÷ 4

FINANCIAL STATEMENT LINE ITEMS AFFECTED

Note: The following section addresses the financial statement line items affected by the accounting for routine transactions covered by this policy (TA consultation may be required per the authorization section above). For all transactions that require a consultation with TA, please defer to the guidance provided by TA regarding the appropriate financial statement line items affected by the transaction.

Transaction	**Affected**		
	Balance Sheet Line Item	**Income Statement Line Item**	**Cash Flow Statement Section**
Declaration of a cash dividend	- Accounts payable, accrued expenses and other (credit) - Retained earnings/ Accumulated deficit (debit)	- N/A	- N/A
Declaration of a cash dividend related to unvested cash settled awards	- Other liabilities (credit) or; - Accounts payable, accrued expenses and other (credit)	- General and administrative expense (debit) - Other expenses from managed and franchised properties (debit) - Owned and leased hotels expense (debit)	- N/A
Payment of a cash dividend	- Cash (credit) - Accounts payable, accrued expenses and other (debit)	- N/A	- Financing Activities (Outflow)
Declaration of a stock dividend	- N/A	- N/A	- N/A
Payment of a stock dividend	- Common stock & APIC (credit) - Retained earnings/ Accumulated deficit (debit)	- N/A	- N/A
Stock Split	- Common stock (credit) - APIC (debit)	- N/A	- N/A
Shares repurchased for retirement	- Cash (credit) - Common Stock (debit) - APIC and/or Retained Earnings/ Accumulated deficit (debit)	- N/A	- Financing Activities (Outflow)
Shares repurchased for reissuance	- Cash (credit) - Common stock (debit) - Treasury stock (debit)	- N/A	- Financing Activities (Outflow)

RELATED DOCUMENTS, TOOLS, AND TEMPLATES

POLICIES & PROCEDURES
FP-FIN-004 – Equity Securities Accounting Policy
FP-FIN-022 – Debt Accounting Policy
FP-FIN-029 – Variable Interest and Voting Interest Entities Accounting Policy
FP-FIN-038 – Share-Based Compensation Accounting Policy
FP-FIN-039 – Derivatives & Hedging Accounting Policy

TERM/ACRONYM	DEFINITION
Basic Earnings Per Share	The amount of earnings for the period available to each share of common stock outstanding during the reporting period.
Diluted Earnings Per Share	The amount of earnings for the period available to each share of common stock outstanding during the reporting period and to each share that would have been outstanding assuming the issuance of common shares for all dilutive potential common shares outstanding during the reporting period.
Earnings Per Share	The amount of earnings attributable to each share of common stock. For convenience, the term is used to refer to either earnings or loss per share.
Participating Security	A security that may participate in undistributed earnings with common stock, whether that participation is conditioned upon the occurrence of a specified event or not. The form of such participation does not have to be a dividend – this is, any form of participation in undistributed earnings would constitute participation by that security, regardless of whether the payment to the security holder was referred to as a dividend.
Stock Dividend	An issuance by a corporation of its own common shares to its common shareholders without consideration and under conditions indicating that such action is prompted mainly by a desire to give the recipient shareholders some ostensibly separate evidence of a part of their respective interests in accumulated corporate earnings without distribution of cash or other property that the board of directors deems necessary or desirable to retain in the business. A stock dividend takes nothing from the property of the corporation and adds nothing to the interests of the stockholders; that is, the corporation's property is not diminished and the interests of the stockholders are not increased. The proportional interest of each shareholder remains the same.
Stock Split	An issuance by a corporation of its own common shares to its common shareholders without consideration and under conditions indicating that such action is prompted mainly by a desire to increase the number of outstanding shares for the purpose of effecting a reduction in their unit market price and, thereby, of obtaining wider distribution and improved marketability of the shares. Sometimes called a stock split-up.
Treasury Stock Method	A method of recognizing the use of proceeds that could be obtained upon exercise of options and warrants in computing diluted EPS. It assumes that any proceeds would be used to purchase common stock at the average market price during the period.

ROLES AND RESPONSIBILITIES

ENTITY/PERSONNEL	RESPONSIBILITIES
Technical_Accounting@hilton.com	The email represents the TA contact address. Please direct any questions regarding the interpretation or implementation of this policy to a member of the TA team or the listed e-mail.